

White House Watch **US presidential election 2024**

Inflation report complicates Joe Biden's campaign messaging

Also in today's newsletter, where Trump and one of his megadonors disagree



With inflation proving stubborn, it'll be difficult for Joe Biden to rely on the campaign message that price growth has slowed since 2022 © 2024 Getty Images

Steff Chávez in Washington

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This is an onsite version of the US Election Countdown newsletter. You can read the previous edition [here](#). Sign up for free [here](#) to get it on Tuesdays and Thursdays. Email us at electioncountdown@ft.com

Good morning and welcome to US Election Countdown. Today we're chatting about:

What the latest US inflation data means for Joe Biden

A Republican schism on trade

The jungle migrant passage that could sway the election

Biden is struggling to convince Americans that the economy is booming, let alone earn credit for it — and his problem just got worse.

Consumer prices rose 3.5 per cent for the year to March, according to data released yesterday, which could [imperil Biden's re-election prospects](#) [free to read]. Yesterday's official data was higher than the 3.4 per cent economists had expected. Core inflation, which strips out volatile food and energy costs, also exceeded forecasts — leading Biden to concede that there was “more to do to lower costs”.

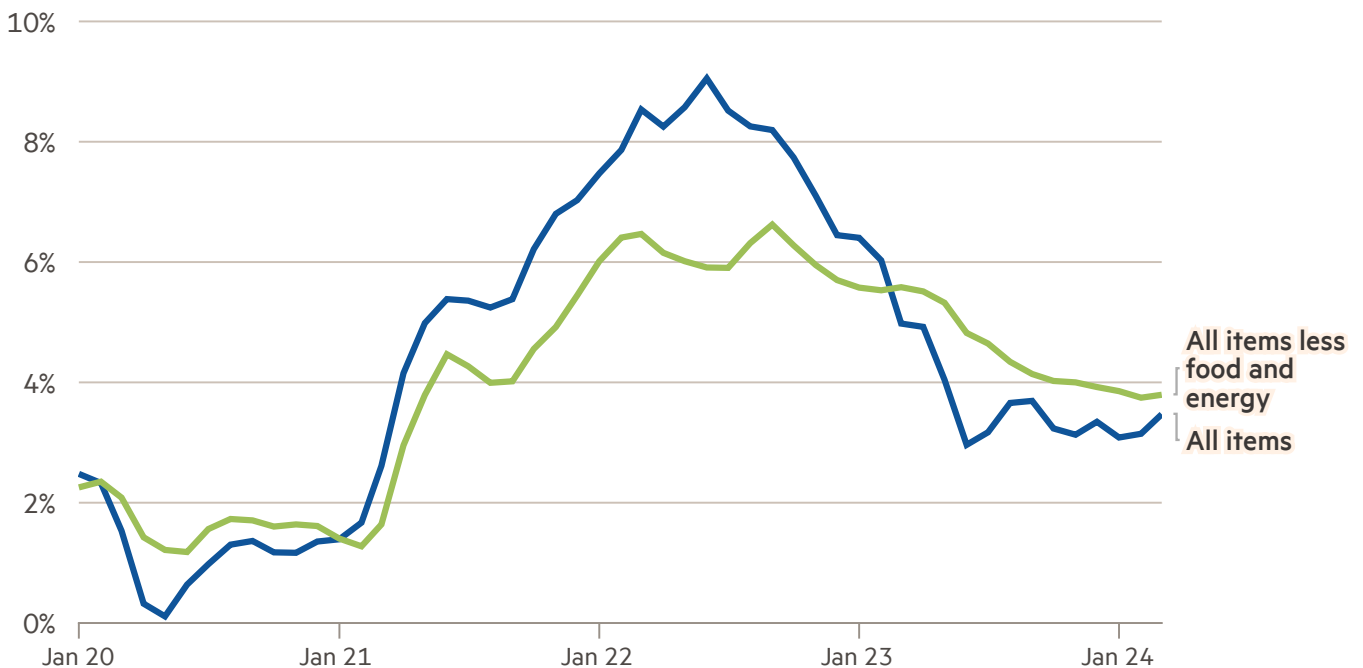
With the US economy running hot and inflation proving stubborn, it'll be difficult for Biden to rely on the campaign message that price growth has slowed since 2022. Republicans were quick to pounce on the fresh numbers to tear into Biden's economic policies.

US inflation edges up in March

% change in consumer price index for all urban consumers

Year over year ▼

Enter item to show



Source: [US Bureau of Labor Statistics](#) • Monthly changes are seasonally adjusted, yearly changes are unadjusted

FT graphic: Eva Xiao

FINANCIAL TIME

Following yesterday's report, markets [pushed back interest rate cut forecasts](#) to November. In early January, futures traders expected at least six cuts in 2024; now they have priced in between one and two quarter-point cuts. Lower rates would bring relief from high borrowing costs for many households.

Though the labour market has been robust throughout Biden's term, inflation has haunted his presidency. The cumulative consumer price index has increased 18.9 per cent since January 2021, making the economy one of Biden's biggest political weaknesses.

While inflation would continue to be a problem throughout the 2024 campaign, voters were starting to blame large corporations rather than Biden, according to Democratic strategist Mike Lux.

“I think that the Biden campaign and other Democrats can pound hard on that theme and tell a convincing story.”

The spectre of rising petrol costs also looms. The price of a gallon of petrol increased 1.7 per cent in March to \$3.62, making it a significant contributor to the headline CPI figure.

Under Biden, prices at the pump have generally been higher than during Donald Trump’s White House tenure, and they could continue their climb, particularly with the unrest in the Middle East.

Check out our [global inflation tracker](#).

Campaign clips: the latest election headlines

The highest court in Arizona [upheld an abortion ban](#) from 1864, a radical move in a swing state that could decide who wins the election.

The [first criminal trial](#) of a former US president will kick off on Monday in a Manhattan courtroom, bringing us an unprecedented legal spectacle. [Free to read]

Trump's allies are brainstorming [how to elevate third-party candidates](#) in swing states to deter would-be Biden voters. (NYT)

It appears UK foreign secretary Lord David Cameron [did not convince Trump](#) to support more aid for Ukraine. He also [warned US politicians](#) against “appeasing” Russia and was snubbed by Republican Speaker of the House Mike Johnson.

The next instalment of our monthly FT-Michigan Ross poll will be published this weekend. [Check back here for updates.](#)

Behind the scenes

Billionaire hedge fund manager John Paulson, a potential Trump Treasury secretary candidate, is fully in the former president's corner. Paulson helped raise \$50mn for him last weekend and thinks the legal cases against him are politically motivated — but he has taken a [decidedly less hawkish tone on trade](#) compared with Trump.

“We don't want to decouple from China,” Paulson told the FT's Alex Rogers, adding:

China is the second-largest economy in the world. We need to have a good economic and political relationship with them.

Trade was “beneficial for the global economy” and tariffs were a “blunt tool”, he said.

While in office, Trump started a trade war with Beijing. In his third campaign, he's continued his call for widespread tariffs and to untangle the US economy from China's.

Paulson's stance points to trade being an area of potential disagreement between the presumptive Republican nominee and corporate interests.

Throughout the rest of the interview, though, Paulson heaped praise on Trump and declined to say that Joe Biden won the 2020 election.

"The 2020 election is in the past, but I do believe there were legitimate concerns raised about election integrity," he said.

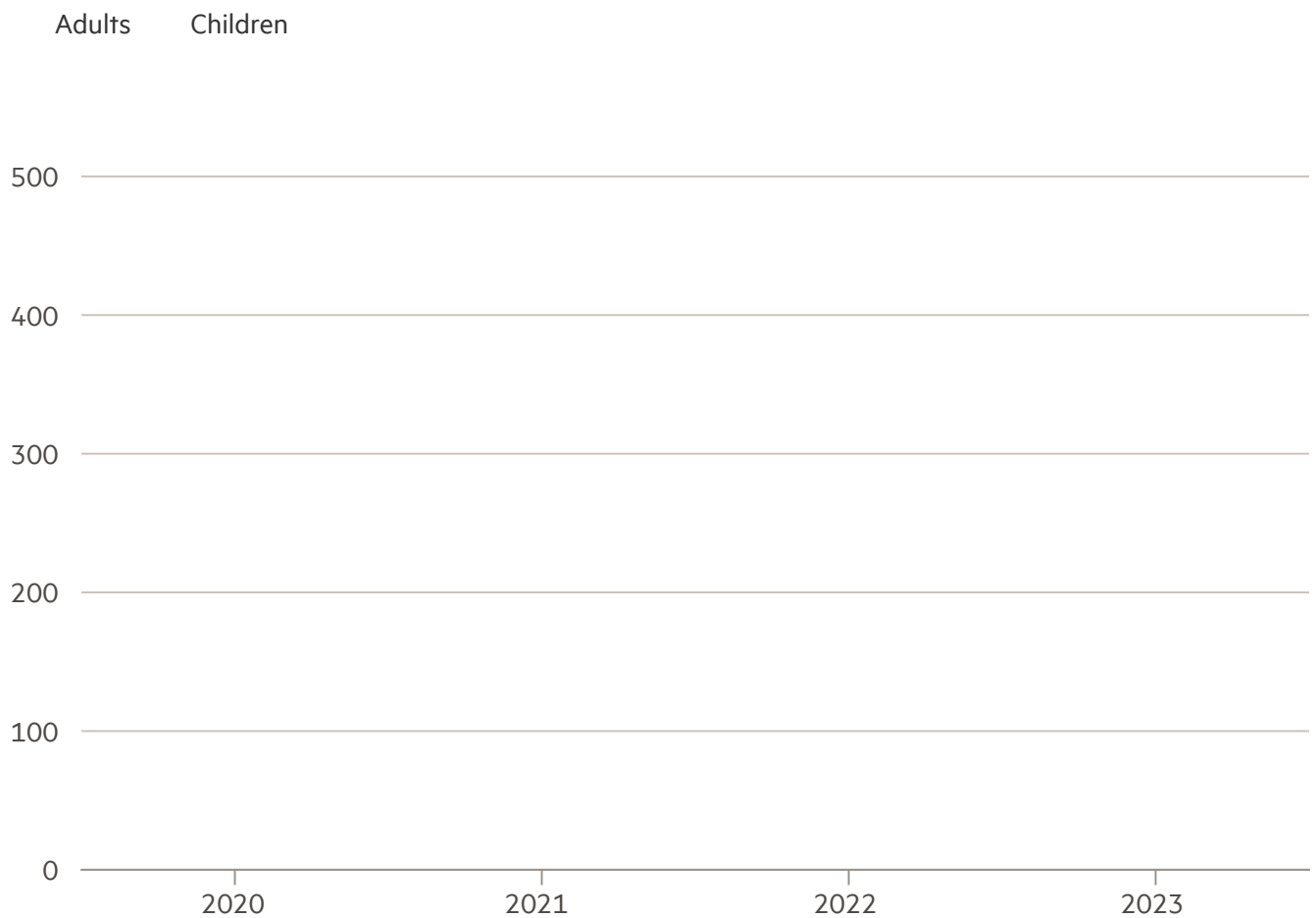
Datapoints

As Democrats and Republicans [berate each other](#) over border and migration policy, an increasing number of migrants are risking their lives on a treacherous rainforest route to reach the US.

The [Darién Gap](#) is the dense jungle frontier between Colombia and Panama, creating a natural land border that has become a critical path for northbound migrants.

Migrant crossings of the Darién Gap have more than tripled in two years

Thousands



Source: Government of Panama

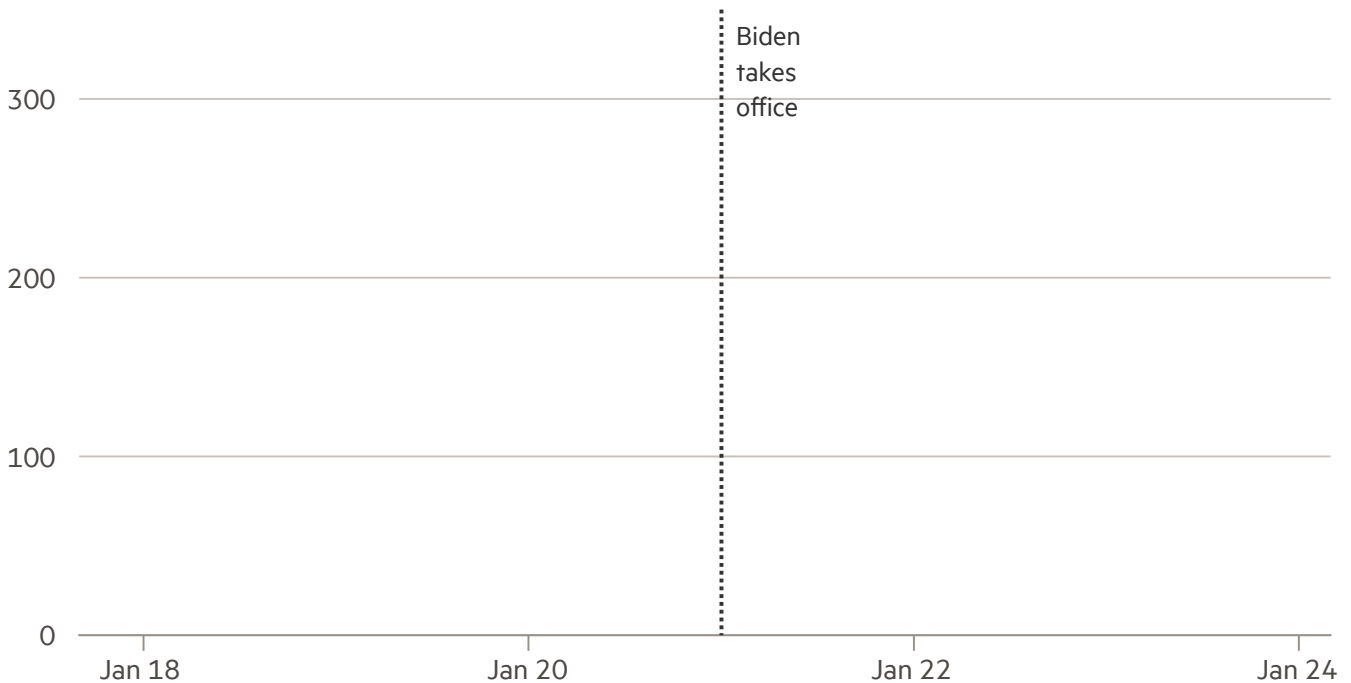
Most of those trekking through the Darién Gap are from Latin America — though there are increasing numbers from Asia and Africa — as political and economic upheaval have triggered migration on an unprecedented scale. In 2023, more than 500,000 people made the journey. Five years ago, that figure was in the low tens of thousands. Panama estimates that traffickers made \$820mn last year smuggling people through the route.

This surge is at the centre of the immigration battle between Biden and Trump. According to a [February Pew Research Center survey](#) 80 per cent of Americans think the US government is doing a bad job handling the influx.

With border crossings soaring under Biden, Republicans smell an opportunity to put Democrats on defence, even as the president's own stance on immigration has hardened. This issue is set to remain a flashpoint in the lead-up to the election.

Border crossings soar under Biden

Monthly encounters* at the US-Mexico border from October 2017 to February 2024, '000s



Source: US Customs and Border Protection • *Note: Encounters include migrants who approach a port of entry to seek asylum as well as those detained after an unauthorised border crossing.

Viewpoints

In an FT Alphaville post, Tej Parikh takes us through some [neglected datapoints](#) that help explain why Biden isn't getting credit for America's robust labour market.

Edward Luce lays out [Republicans' choice on Ukraine](#): provide weapons and other aid to Kyiv, or pay fealty to Trump.

There are [three kinds of swing voters](#), writes Perry Bacon Jr: switchers, occasionals and “third-partiers”. (Washington Post)

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Steff Chávez